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B. Closed Indent

It does not give any freedom to exporter. Importer specifies climates the type of goods, price, quality, packing method, and so on which should be strictly observed by the exporter.

C. Confirmatory Indent

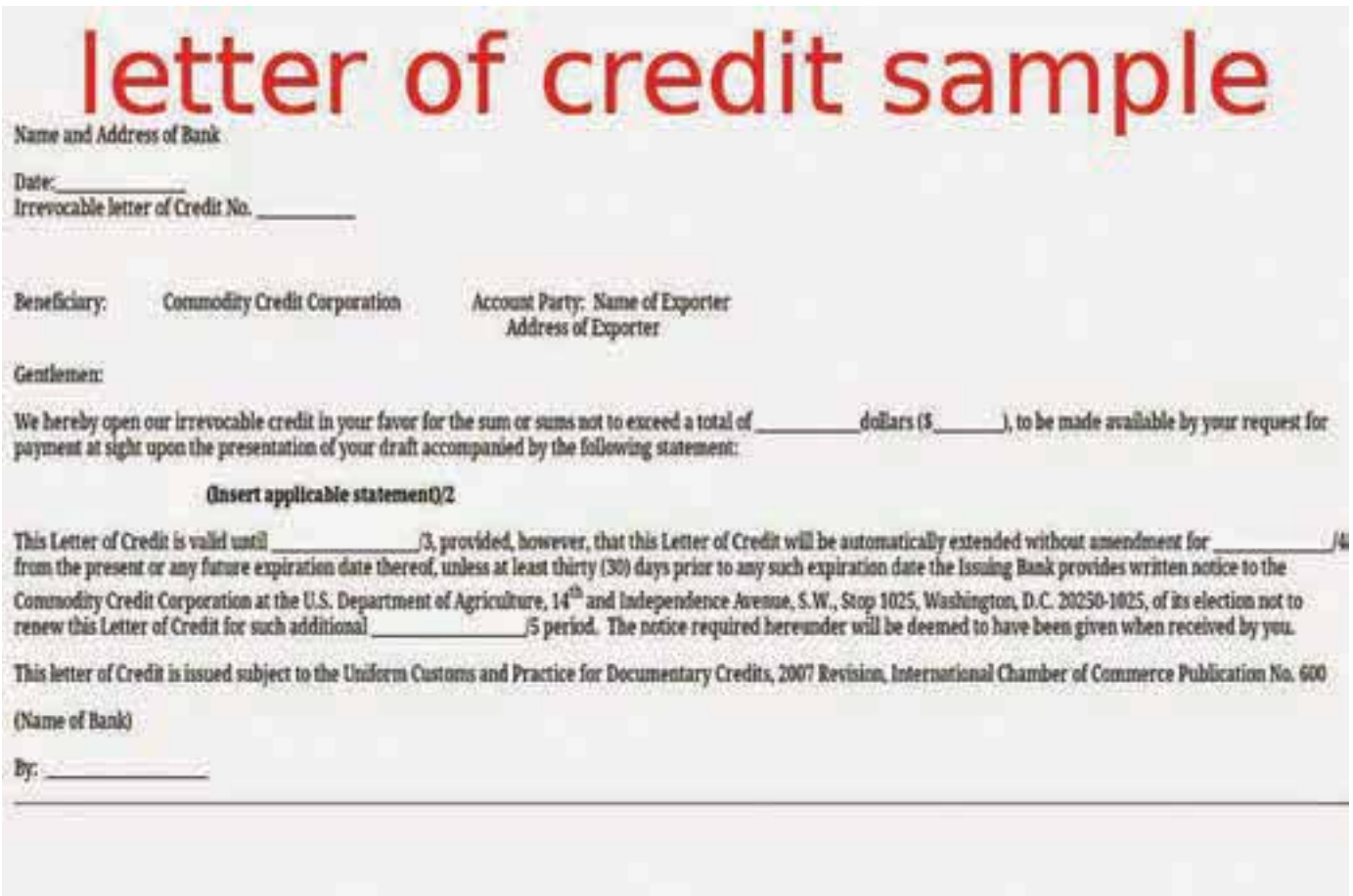
An indent is to be confirmed by importer/ his agent and the final indent is sent by importer thereafter.

3. Arranging Letter of Credit

Under this stage exporter intends to satisfy himself/herself about the trust worthiness of the importer. In this case the exporter is requested to arrange a letter of credit in his favour.

Letter of Credit (LC) is an undertaking by its issuer (importer's bank) that bills of exchange drawn by the foreign dealer on the importer will be honoured upon its presentation by exporter's bank up to a specified amount. In other words it simply represents a guarantee given by the importer bank to the foreign dealer (exporter) that the amount in the bill will be honoured upon its presentation by the exporter /his agent. There are different types of letter of credit.

Letter of Credit is opened only for well-established and reputed importer. It is beneficial both to the exporter and importer. Exporter is assured of payment and need not bother about credit worthiness of importer. The letter of credit simply transfers the burden of settling the transactions to the bank


letter of credit sample

Name and Address of Bank

Date:_____
Irrevocable letter of Credit No. _____

Beneficiary: Commodity Credit Corporation Account Party: Name of Exporter
Address of Exporter

Gentlemen:

We hereby open our irrevocable credit in your favor for the sum or sums not to exceed a total of _____dollars ($_____), to be made available by your request for payment at sight upon the presentation of your draft accompanied by the following statement:

(Insert applicable statement)/2

This Letter of Credit is valid until _____/3, provided, however, that this Letter of Credit will be automatically extended without amendment for _____/4 from the present or any future expiration date thereof, unless at least thirty (30) days prior to any such expiration date the Issuing Bank provides written notice to the Commodity Credit Corporation at the U.S. Department of Agriculture, 14th and Independence Avenue, S.W., Stop 1025, Washington, D.C. 20250-1025, of its election not to renew this Letter of Credit for such additional _____/5 period. The notice required hereunder will be deemed to have been given when received by you.

This letter of Credit is issued subject to the Uniform Customs and Practice for Documentary Credits, 2007 Revision, International Chamber of Commerce Publication No. 600

(Name of Bank)

By: _____